

Components Distribution Emerging Sectors

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In the absence of significant manufacturing happening in India, electronic components distributors are doing a good business. The year-on-year growth is expected to be 25 to 30 per cent. Currently, seventy per cent of the components are sourced from China. Countries like Malaysia, Taiwan and Singapore make up for rest of the supply.

Poor power supply conditions have accelerated the demand for power-conditioning, power generation and LED lighting products and hence the related components. The demand for LED lighting components is going to multiply as LED lights save a lot of energy and thus money. But prices of

LED fixtures and components remain very high.

"Mobile phones, telecommunication, consumer products, automotive, smart metering and industrial are the other sectors generating demand for components. Demand for most of the telecom, metering and defense products, in particular, depends on tenders and government decisions and requirements. All other segments will continue to see prominent growth in 2012, unless we face any economic crisis," says Ravikumar D., product & sales manager-India, EDOM.

"We have very strong sales in the lighting industry, particularly compact fluorescent lamp (CFL) manufacturing. Also, there is enough demand for UPS and energy meter components.

In lighting industry, eighty per cent of the components mounted on PCBs are supplied by us," informs Micky Shah, director, Power Palazzo.

"In recent years, we have also witnessed many emerging technologies within India. Aggressive research and development activities around e-books, touch panel devices, tablet PCs and green technology are evident and there has been a steady increase in the demand for solutions related to these emerging sectors. We believe that demand pattern will shift significantly towards these sectors in the near future as widespread adoption of these new technology segments continues on a global scale," says Ravi Pagar, director-India, element14.

There is cut-throat competition among distributors. All the distributors are working on various product lines in India. Key differentiators are the additional product features, lower bill-of-material (BOM) components and size of the PCB, power-saving and cost-effective solutions with short lead times, quality of work and timely support to customers' designs with samples, evaluation boards, technical support and best price offers. Hand-holding and participation with customers to complete their projects is a key value addition.

Component selection is critical

Selecting the right electronic component for distribution is not an easy job.

"There are several factors that need to be considered, like brand reputation, reliability and technical and design support," says M. Chitrakleha, general